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Cracking the GenAI Code: Where the Market's Headed and What Buyers Want from AI Providers

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John Lovelock

Distinguished VP Analyst



Alastair Woolcock

VP Analyst



Cracking the GenAI Code:

Where the Market's Headed and What Buyers Want from AI Providers

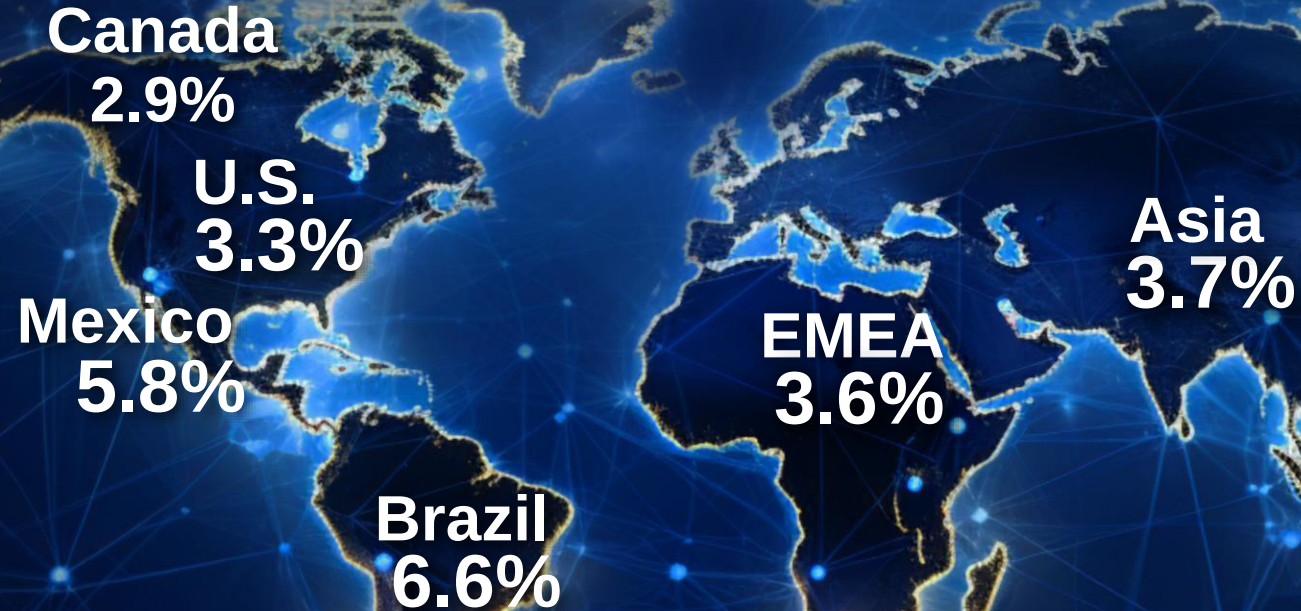
John Lovelock, Distinguished Vice President
Research & Advisory | Chief Forecaster

Alastair Woolcock, Vice President
Research & Advisory | Disruptive Tech | Invest

IT Budgets are Flat – When Accounting for Inflation

**Expected
IT Budget
Increase
2025**

**Global
3.8%**



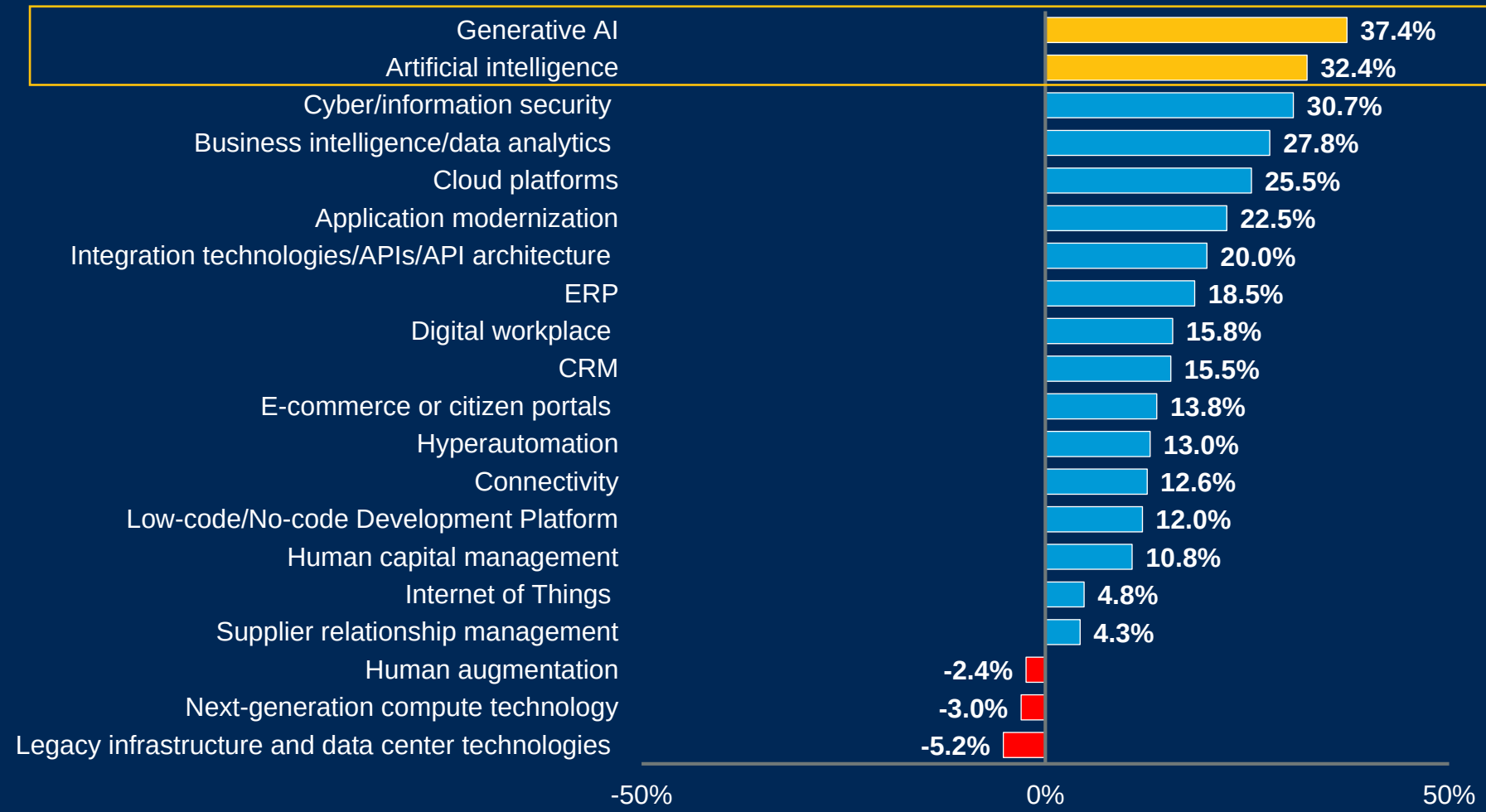
n = varies by region, CIOs and technology executives answering; global (n = 2,906); Brazil (n = 122); Mexico (n = 63); United States (n = 729); Canada (n = 164), EMEA (n = 1,253), Asia (n = 399)

Source: 2025 Gartner CIO and Technology Executive Survey



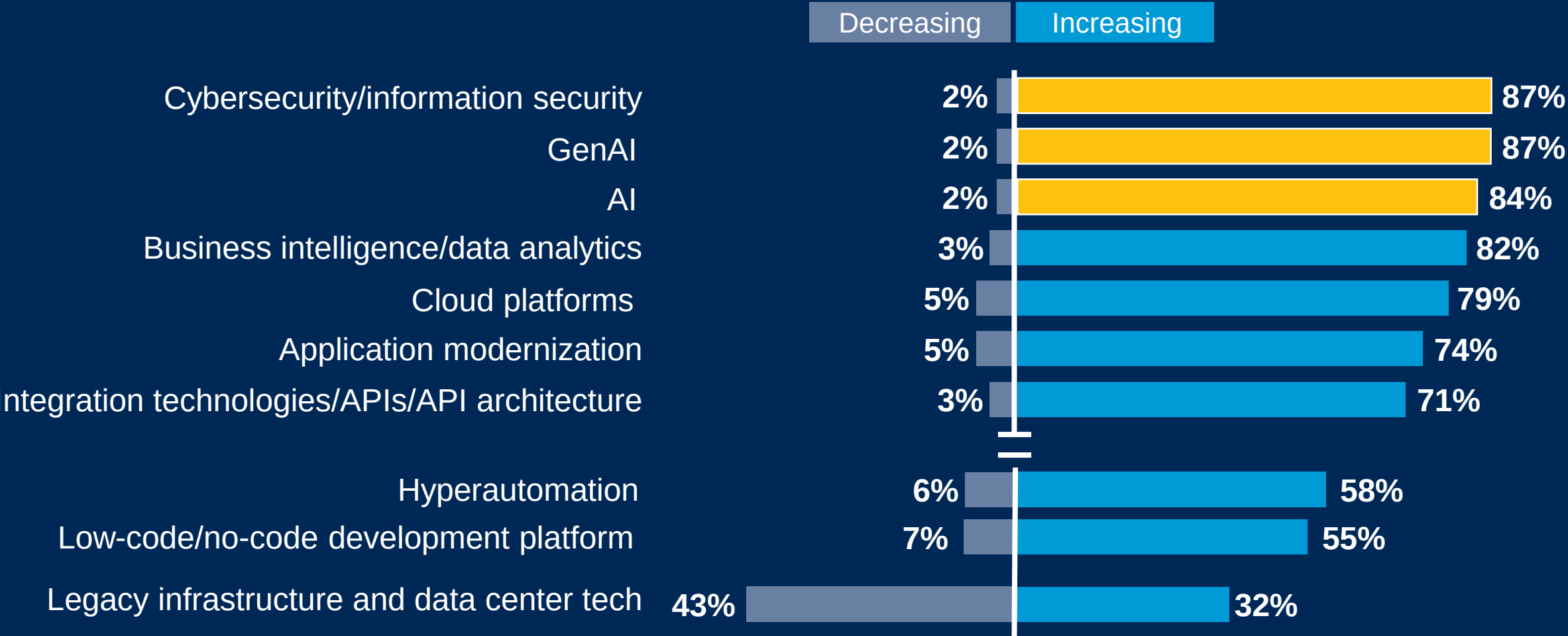
But Budget **Changes and
Growth aren't Equal**

Changes in Technology Funding in 2025



n = 2,750-3,067 CIOs and technology executives whose enterprises have deployed the technology
P2. For each of these technology areas, by how much will your enterprise increase or decrease funding in 2025 compared with 2024?
Source: 2025 Gartner CIO and Technology Executive Survey

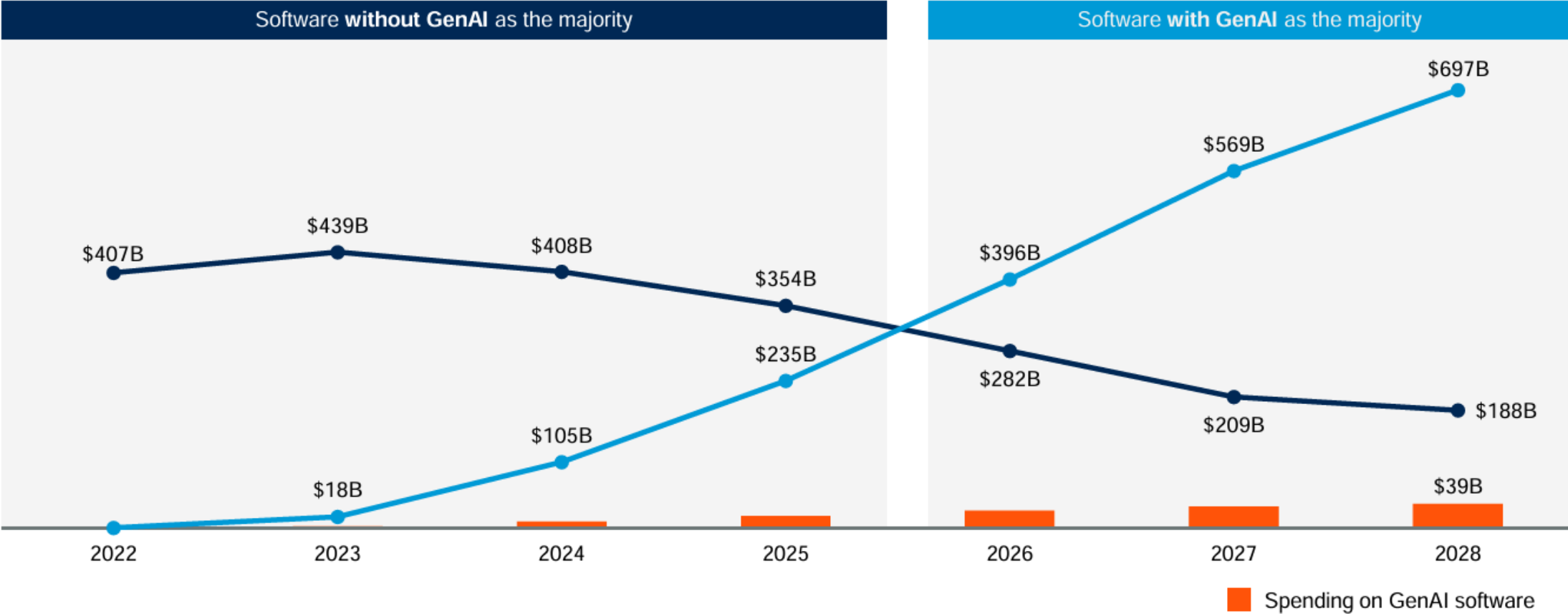
Growth in Digital Foundations Investments



n = 3,186 CIOs and technology executives answering
Q: For each of these technology areas, by how much will your enterprise increase or decrease funding in 2025 compared with 2024?
Source: 2025 Gartner CIO and Technology Executive Survey
Note: Chart omits percentage of respondents to select "no change in funding"

Global Spending on Software 2022-2028

By 2026, spending on software with GenAI will surpass spending on software without GenAI

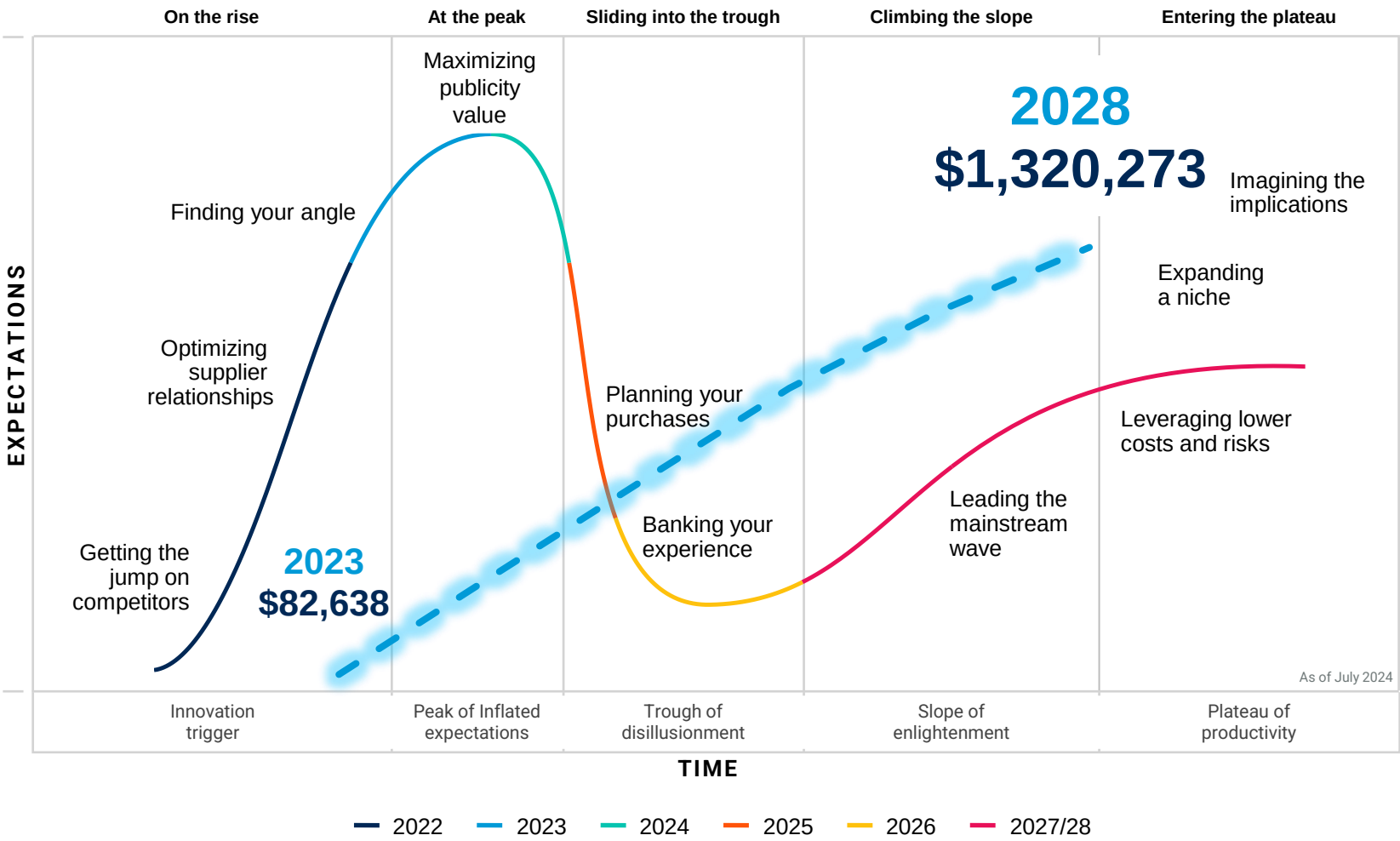


“Agentic” capabilities is a major driver of GenAI and related compound system

Source: Gartner

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Expectations Down, Spending Up: \$1.3 Trillion USD



The GenAI Cycle will change the context of spending, and what will be purchased – but not the total spend

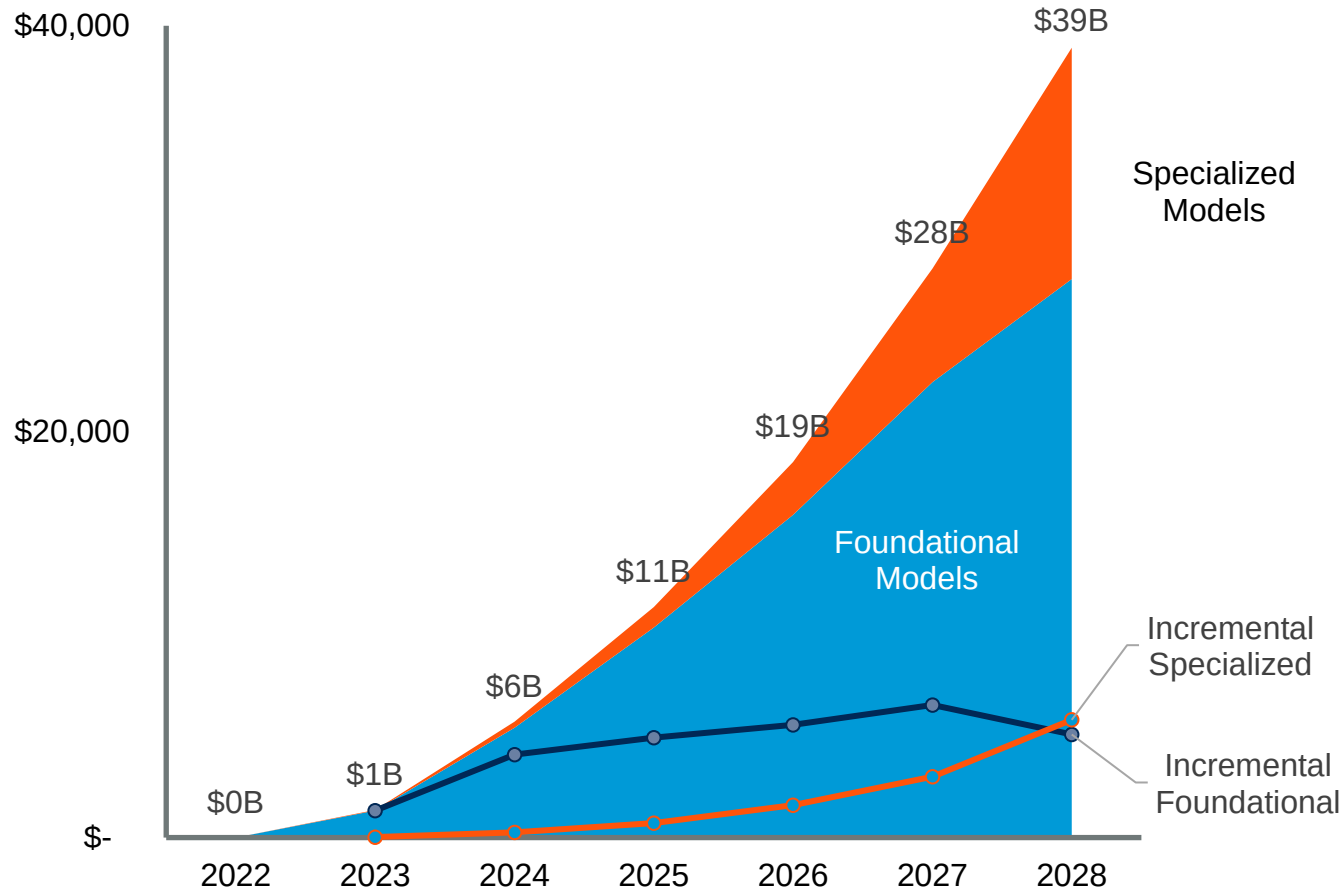
- 2025**
- CIOs start year with full AI Budgets, and declining expectations
 - COTS solutions now available from incumbent software providers.
 - Staff & Skill limitation leads to pacing & prioritization for GenAI applications
- 2026**
- CIO refocus on delivering value from GenAI existing products/services while containing costs
 - Skepticism on new GenAI purchases – ROI & Value focused decisions
- 2027/28**
- GenAI features become embedded and predictable of existing software products
 - Transformational use cases emerge

Source: Gartner



Global Spending on GenAI Models \$38.9B in 2028

In 2028, Foundation Model Growth Stalls and Specialize Models Takeover as the Growth Driver

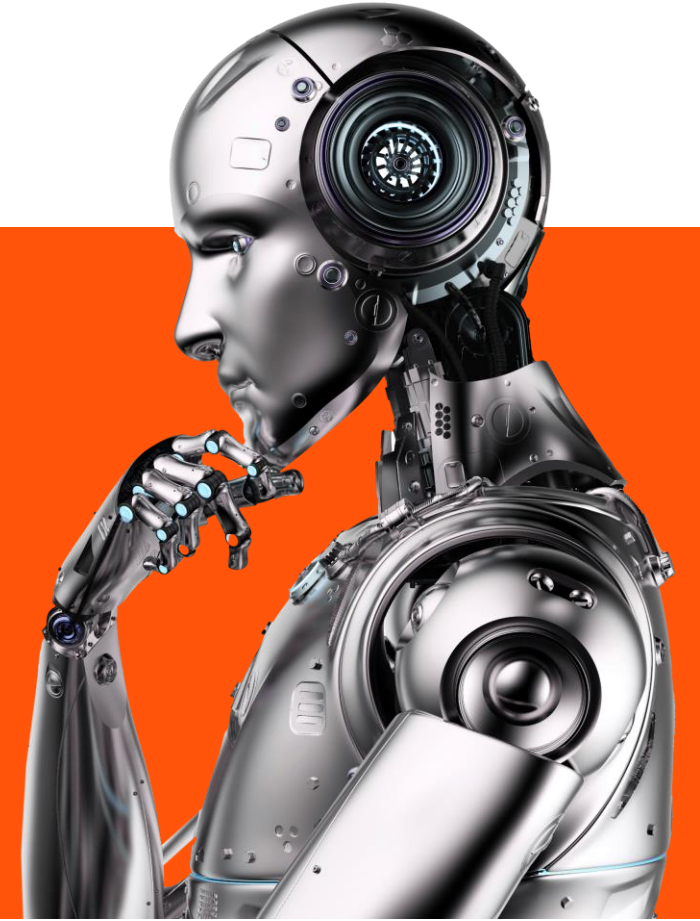


- The Market for Foundation GenAI Models will be an Oligopoly before 2028.
- Specialized models will demand a price premium over Foundation GenAI Models
- In 2028, Specialized Models take over as the Driver of Growth from Foundational Models
- Consumer based products and services will rely on Foundational Models.

Source: Gartner

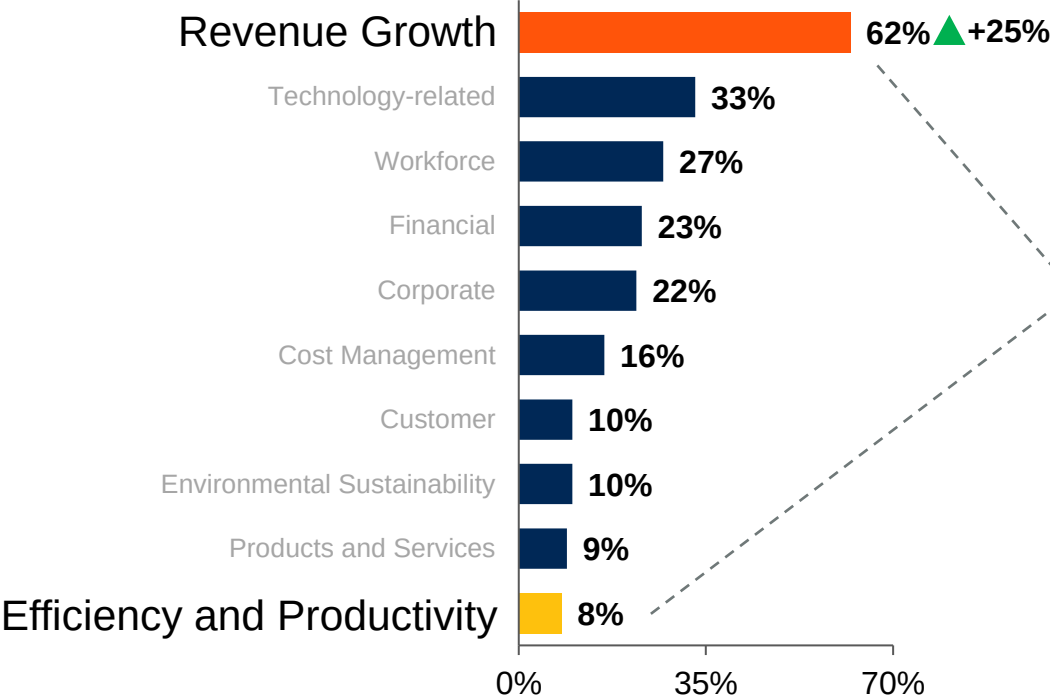
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Key Buyer Behaviors



Generative AI Is not Yet Delivering on the Top Business Priorities

CEO Top 10 Strategic Business Priorities for 2024 to 2025



What are your organizations' top three strategic business priorities for the next two years (2024/2025)?
Source: 2024 Gartner CEO and Senior Business Executive Survey

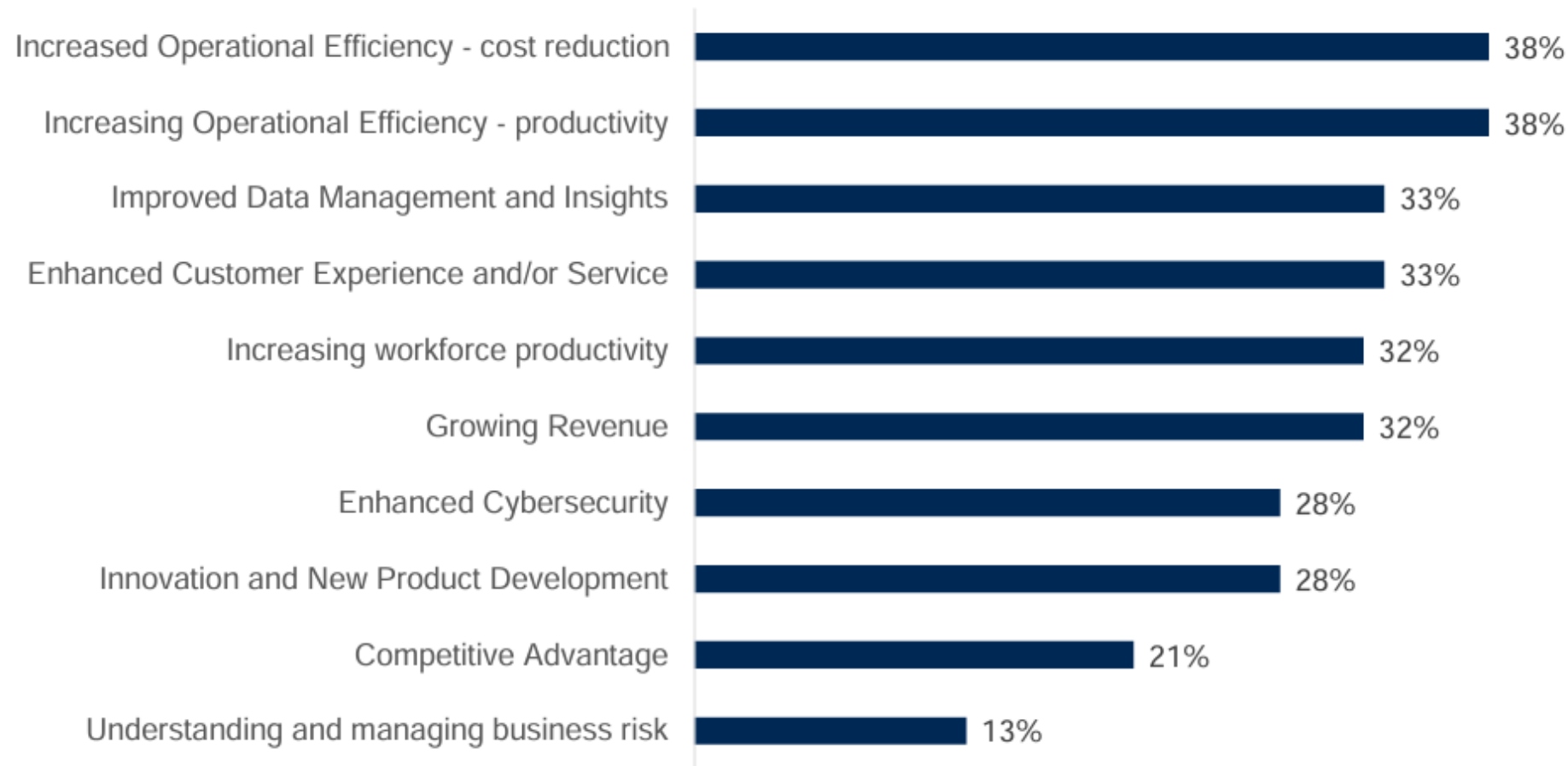
CIO Top Business Value from Applying Generative AI



What are the top three types of business value your enterprise seeks from applying generative AI?
Source: 2025 Gartner CIO and Technology Executive Survey

CIOs Have No Clear Outcome for GenAI

What are the top three business outcomes your organizations hopes to achieve from your AI spending in 2025?



n = 596
Source: 2025 Gartner IT Spending Survey
#GartnerTGI



Buying Behavior of Organizations for GenAI Solutions

Organizations are primarily buying GenAI solutions from vendors rather than building them in-house.

- Buying from vendors is the most common strategy for implementing GenAI across various business functions.
 - 54% of marketing, 53% of procurement, 50% of sales, 50% of legal/risk/compliance, 49% of supply chain, 46% of HR, 47% of customer service, and 43% of finance departments are buying from a vendor.
- A smaller percentage of organizations are hiring a consultant to build GenAI solutions.
 - 23% of marketing, 24% of procurement, 22% of sales, 30% of legal/risk/compliance, 25% of supply chain, 29% of HR, 31% of customer service, and 25% of finance are hiring a consultant.
- **Even fewer organizations are waiting for a current vendor to offer GenAI solutions**, or are building it themselves.

Technical Approach's Organizations are taking:

1. Embedding GenAI in Existing Applications:

- This is the most popular method for fulfilling GenAI use cases, with 74% of organizations using this approach. This method is ranked as the top approach, as it integrates GenAI into familiar systems like CRM, making it easier for employees to adopt and use.

2. Customizing Existing GenAI Models:

- 65% of organizations are customizing existing GenAI models for their use cases, often through prompt engineering. This is the second most popular approach and is a key way organizations are adapting general-purpose models to fit their specific needs. This involves adding data and logic, changing weights, and adding layers.

3. Using Standalone GenAI Tools:

- 59% of organizations use standalone GenAI tools. This is ranked third, as it offers a quicker way to deploy GenAI for specific tasks, but may not be as well-integrated as embedding it within existing applications.

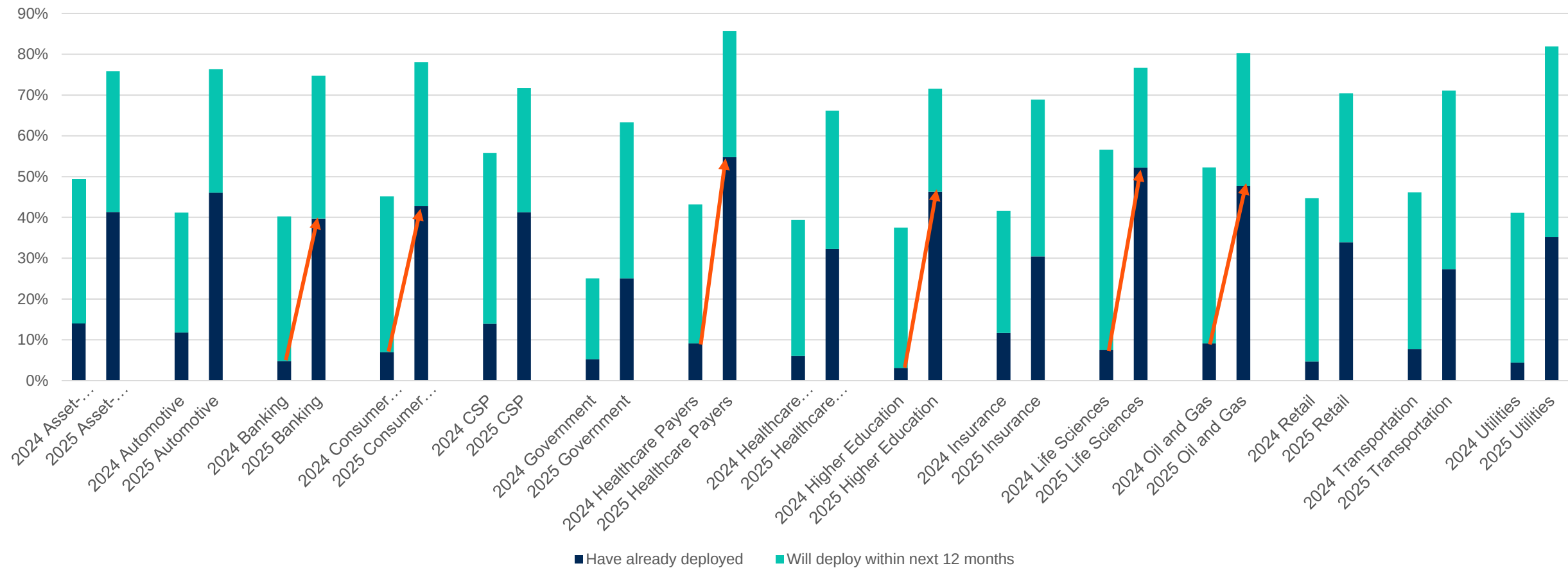
4. Training Bespoke GenAI Models:

- A smaller percentage of organizations are training bespoke models (e.g., fine-tuning or creating models from scratch). This approach is the least popular, as it is more complex, costly, and time-consuming. Organizations may choose to fine-tune models for specific industries using vendor proprietary knowledge and databases

GenAI Buyer Dynamics and RxT Framework

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Deployment / Ambition, Generative AI, Comparison 2024-2025

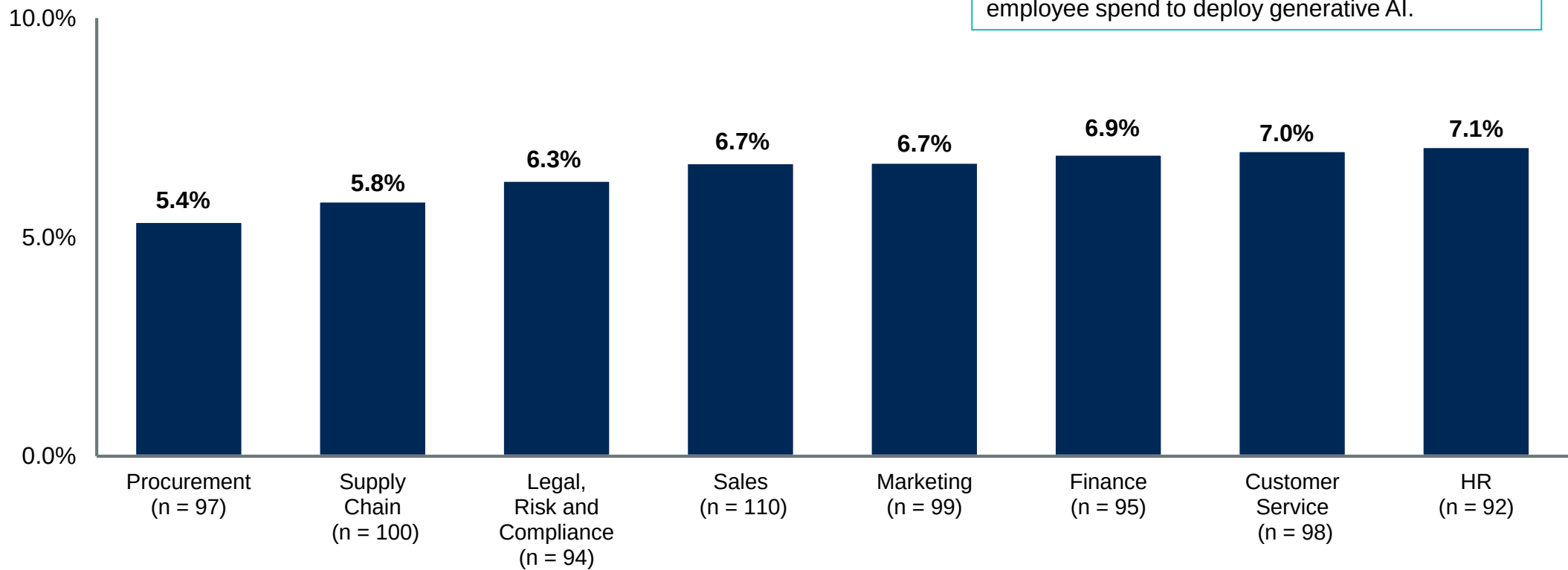


Source: Gartner 2025 CIO Agenda Survey

On average, business leaders plan to allocate 5.4% to 7.1% of their functions' budget to Generative AI

2024 Functions' Budget Allocation to Generative AI
Percentage of Respondents

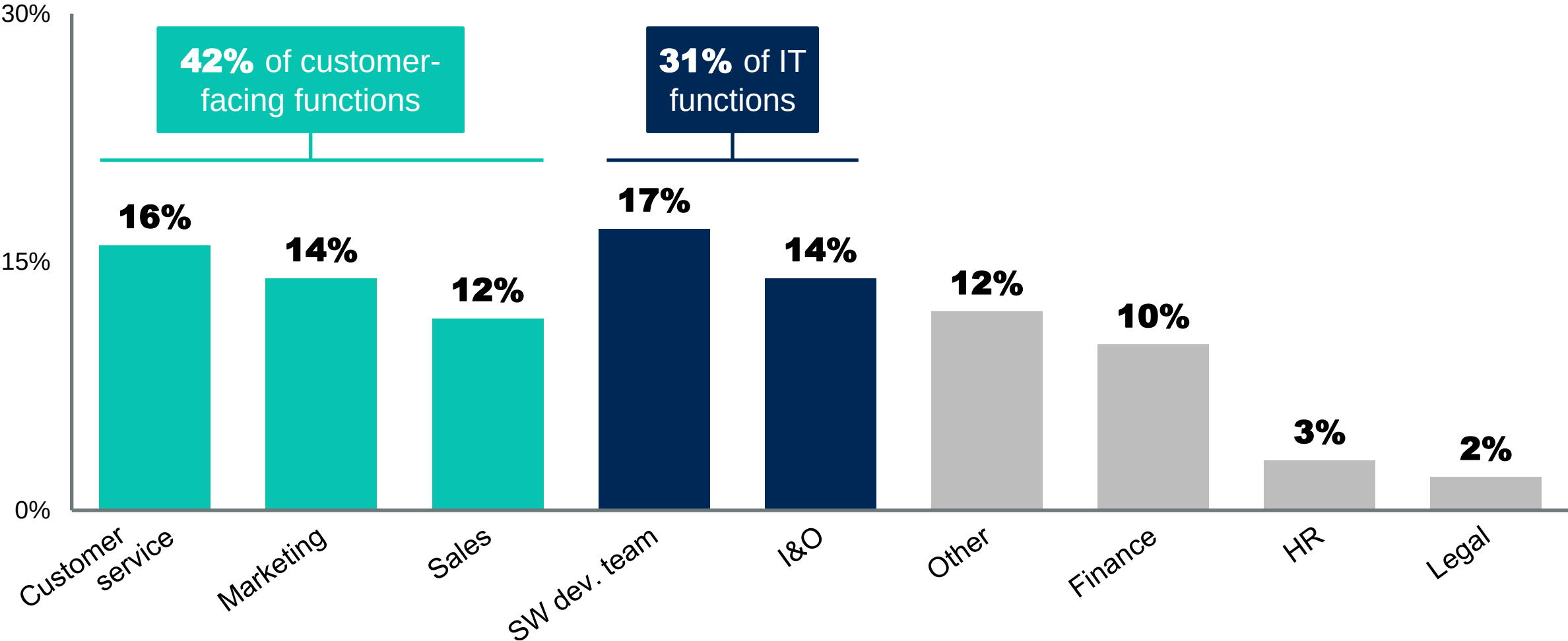
Includes spend on the technology (such as licensing and/or building) as well as incremental employee spend to deploy generative AI.



n = varies, All Respondents, excluding Don't know
Q7a: What percentage of 2024 budget do you anticipate allocating to Generative AI?
Source: Gartner Generative AI 2024 Planning Survey
Footnotes: Statistics are approximations calculated from range midpoints

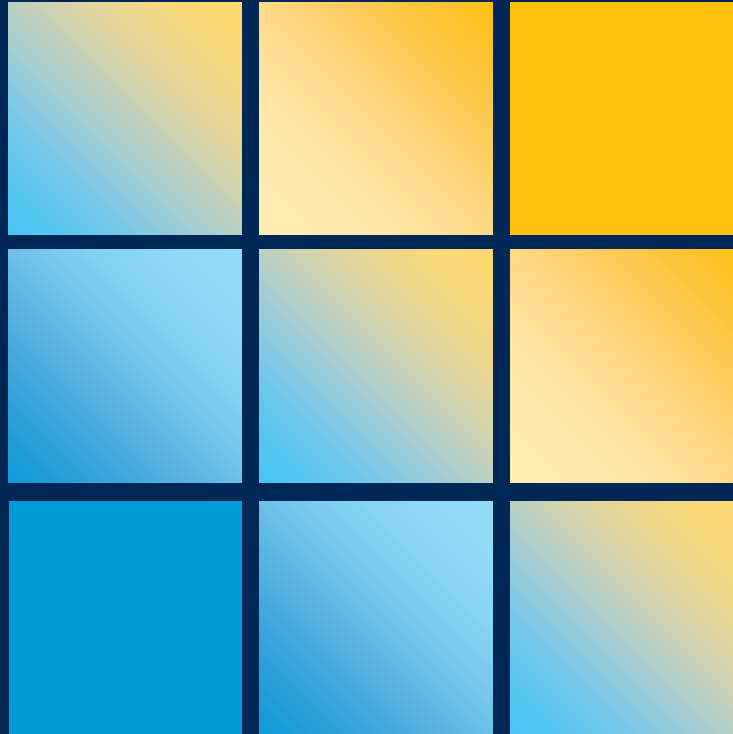
Generative AI Investments by Business Function

Question: Which business functions have adopted or intend to invest in some form of a generative AI solution?
Percentage of respondents

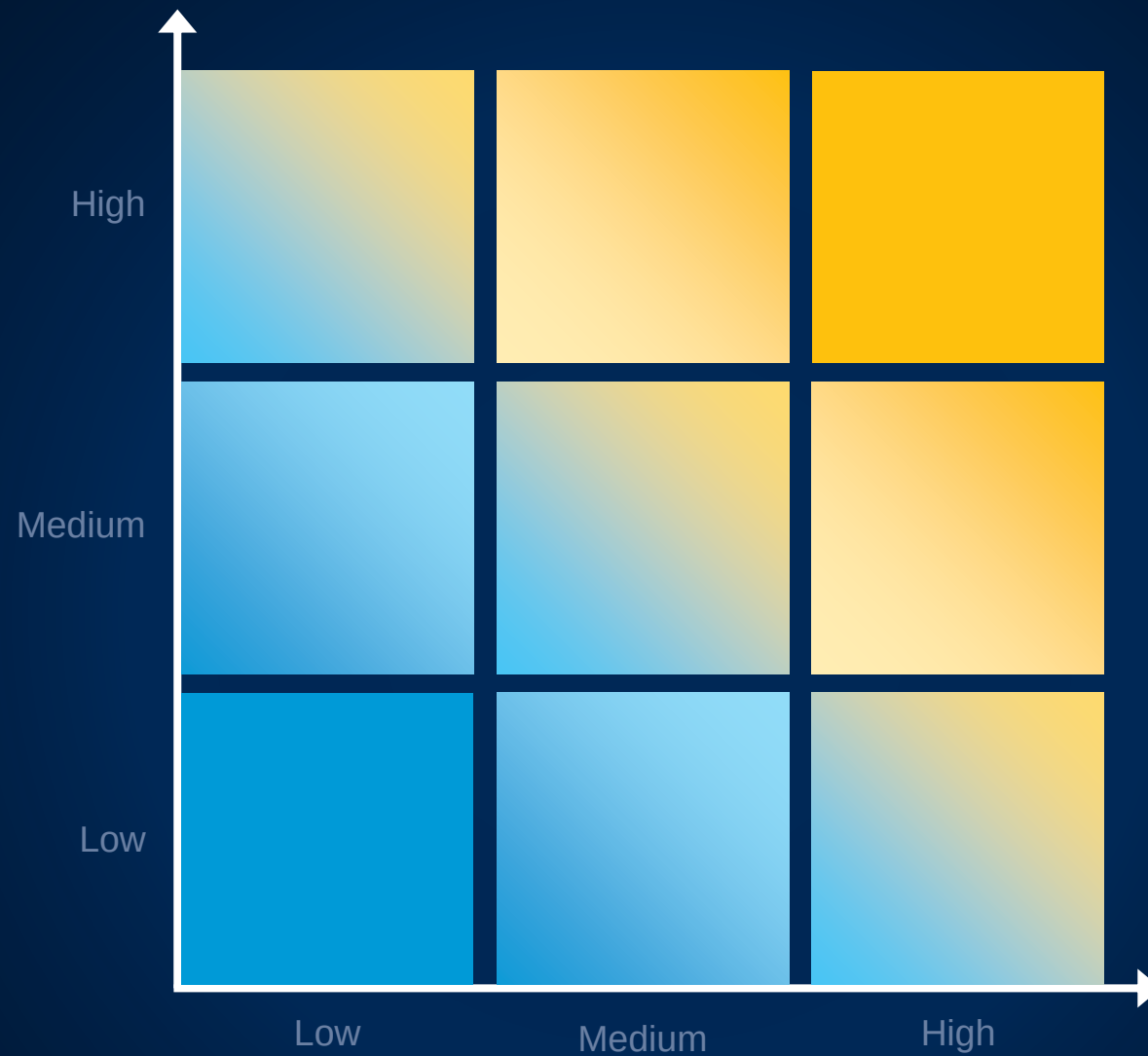


RxT Matrix

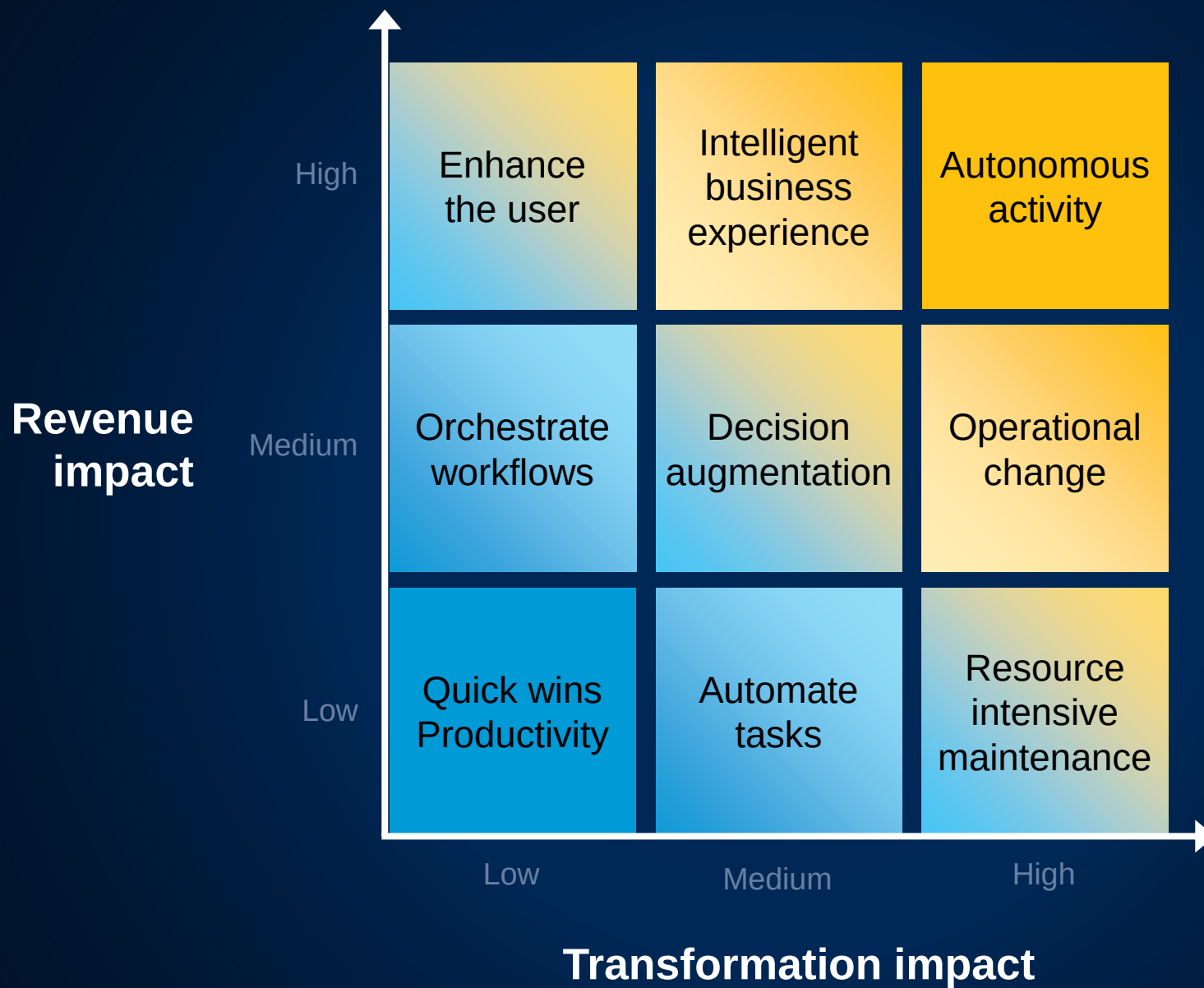
Revenue x Transformation + AI = RxT Matrix

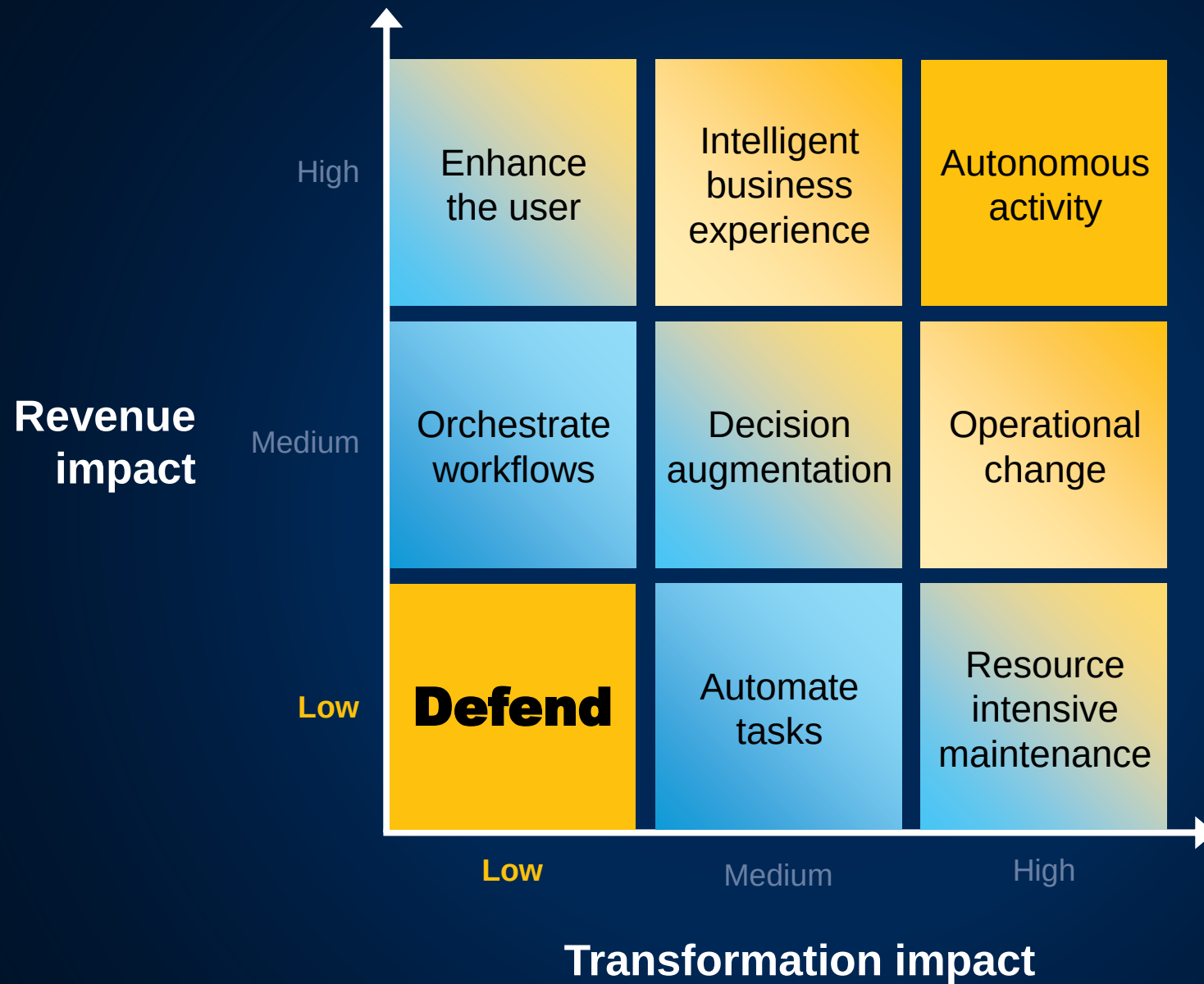


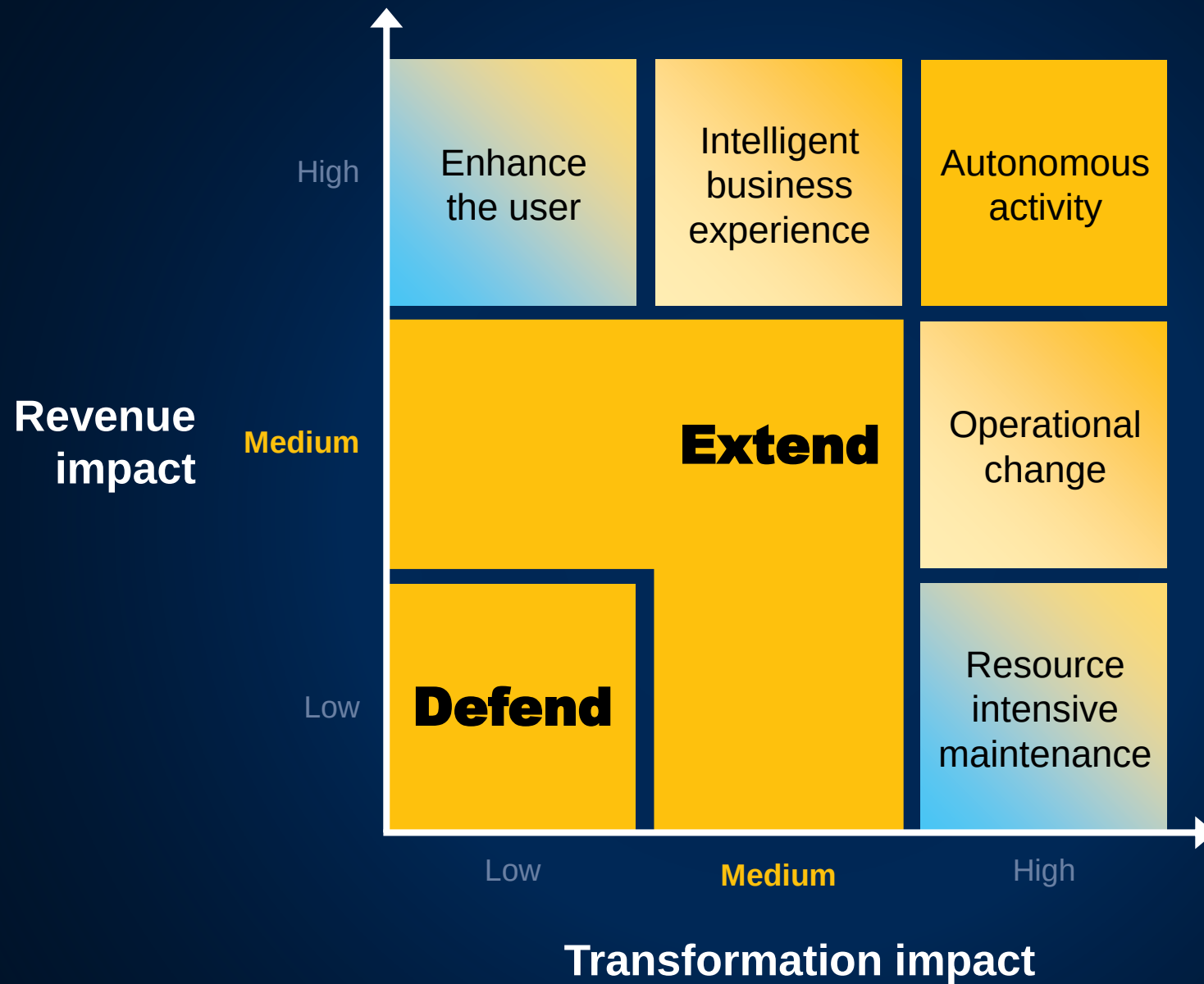
**Revenue
impact**

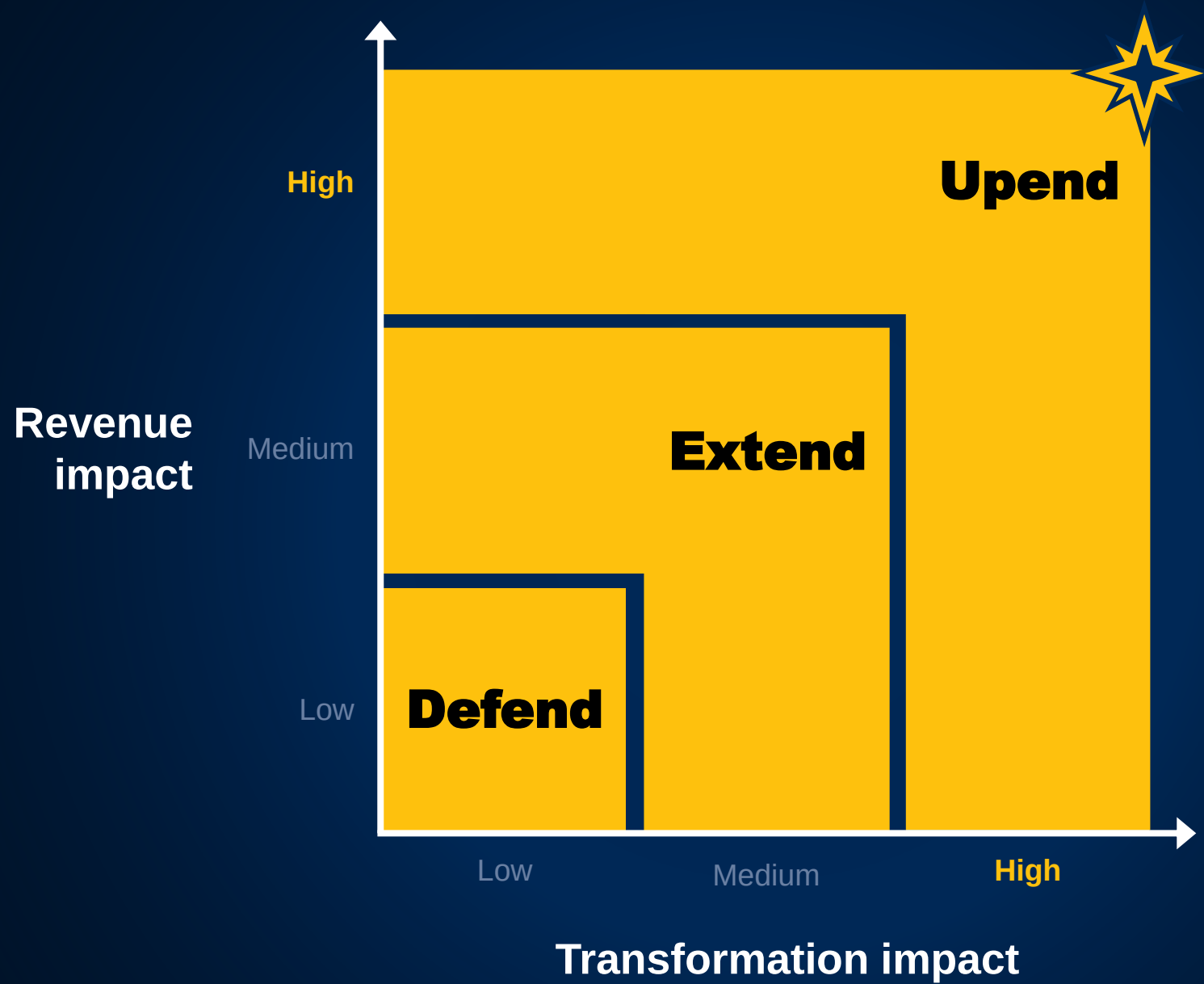


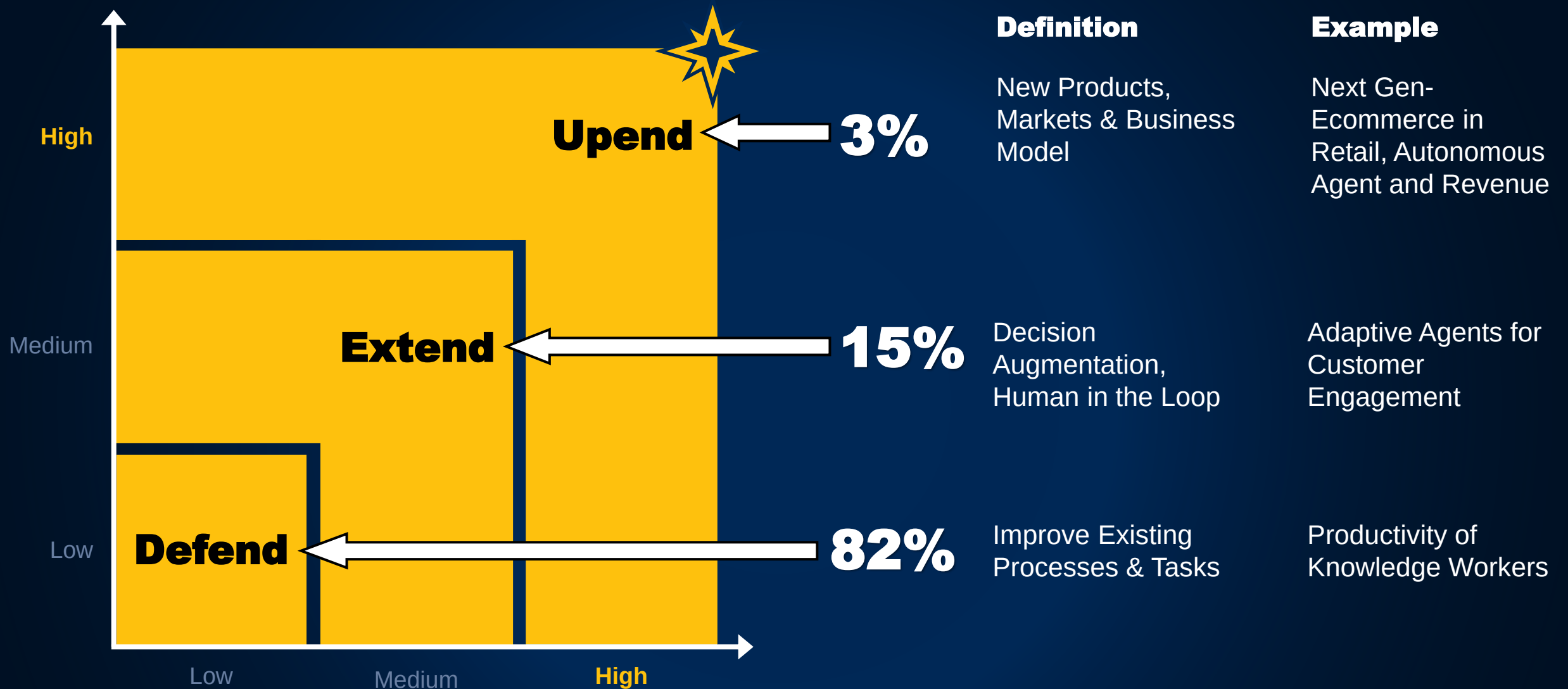
Transformation impact



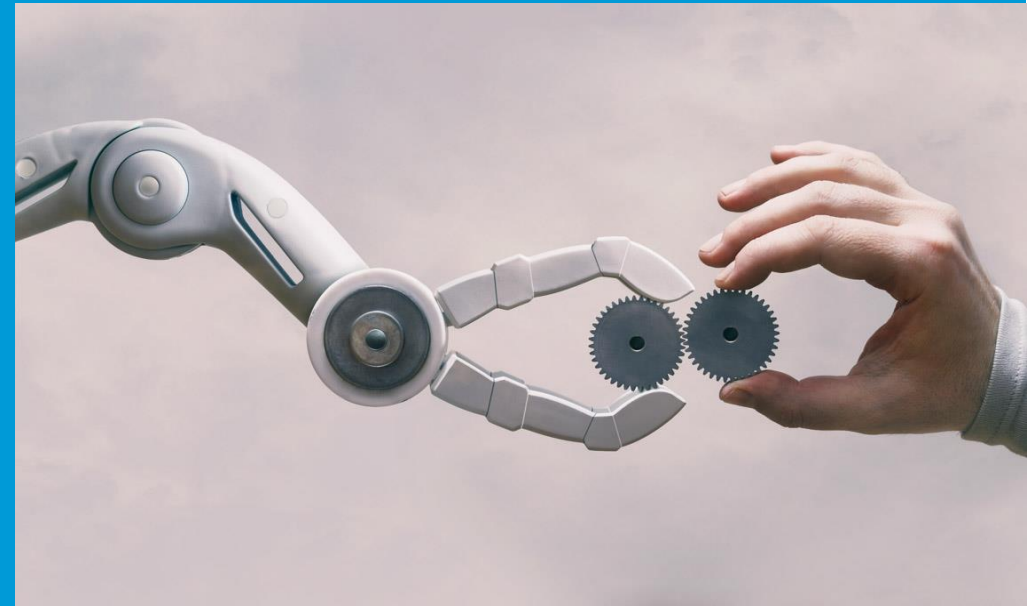




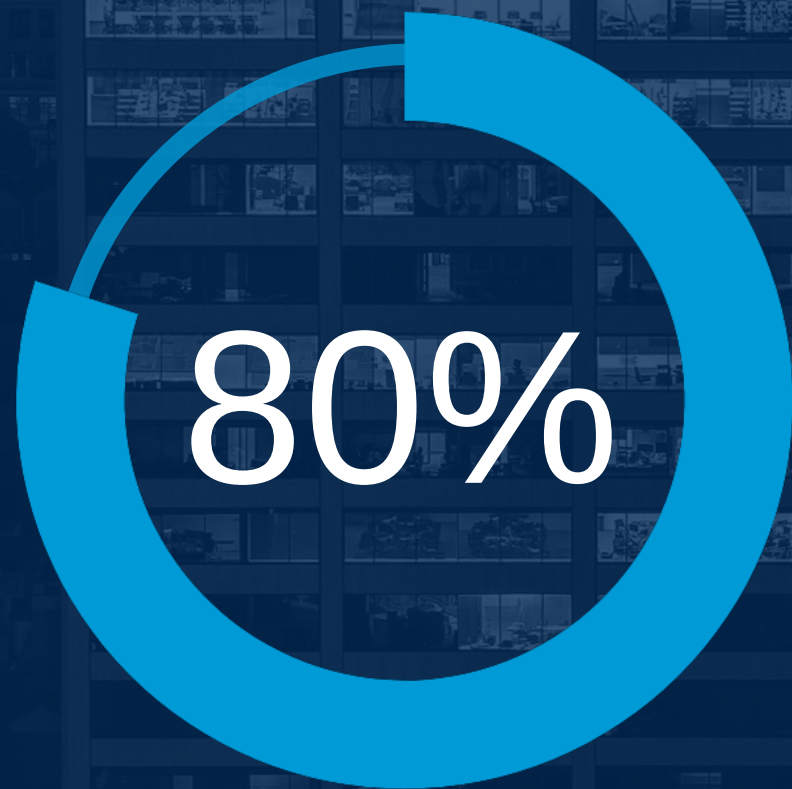




Buyer Insights on Products and Value Realization from GenAI



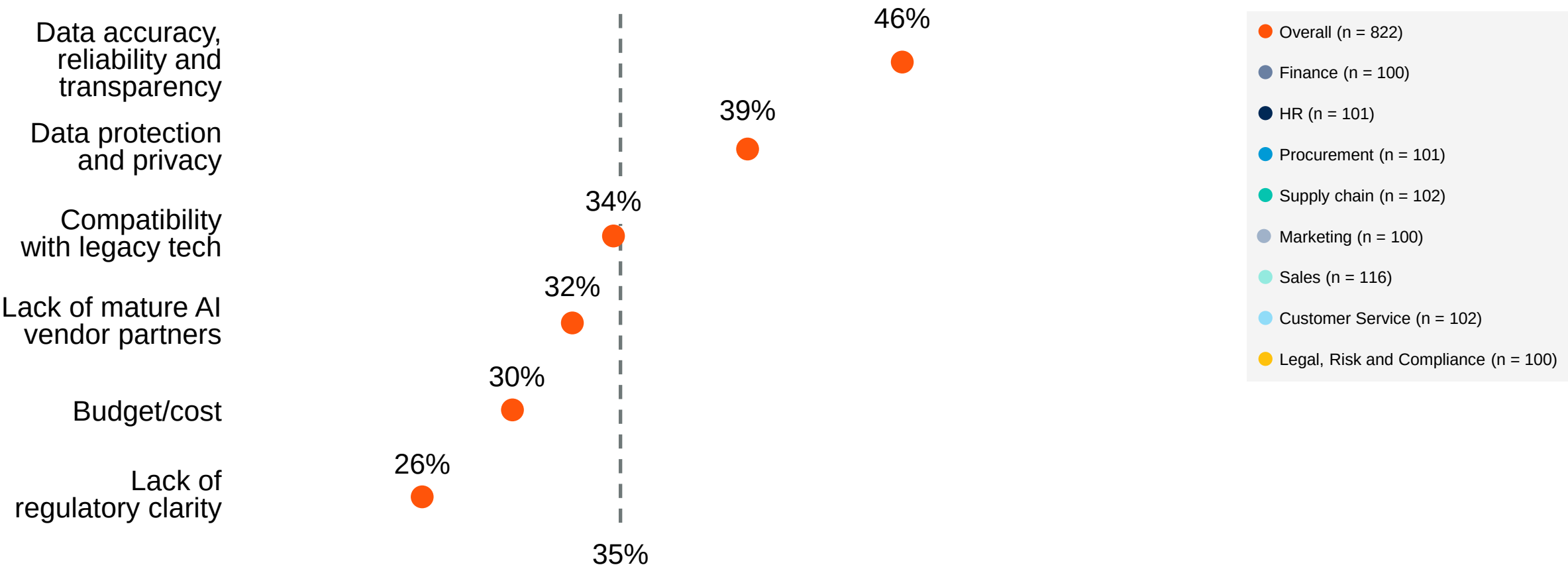
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of Executives

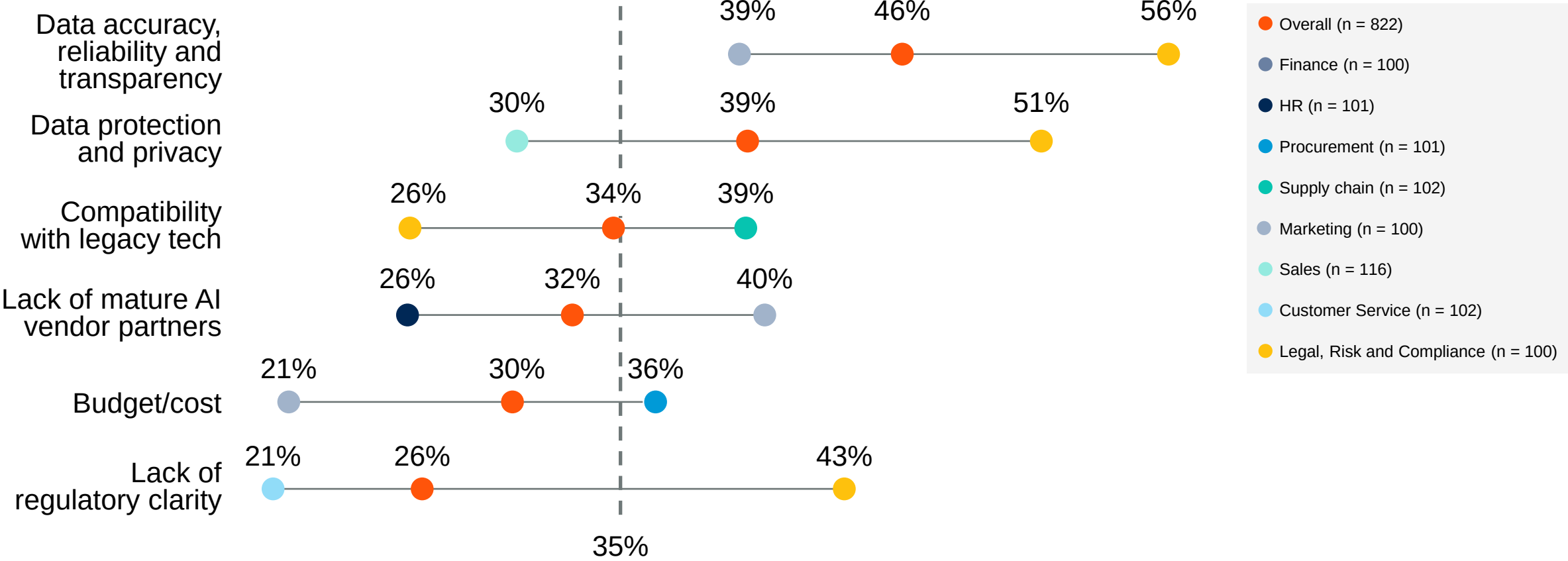
Plan full GenAI
adoption
within 33 months

Implementing AI Is Hard (but...products can help)



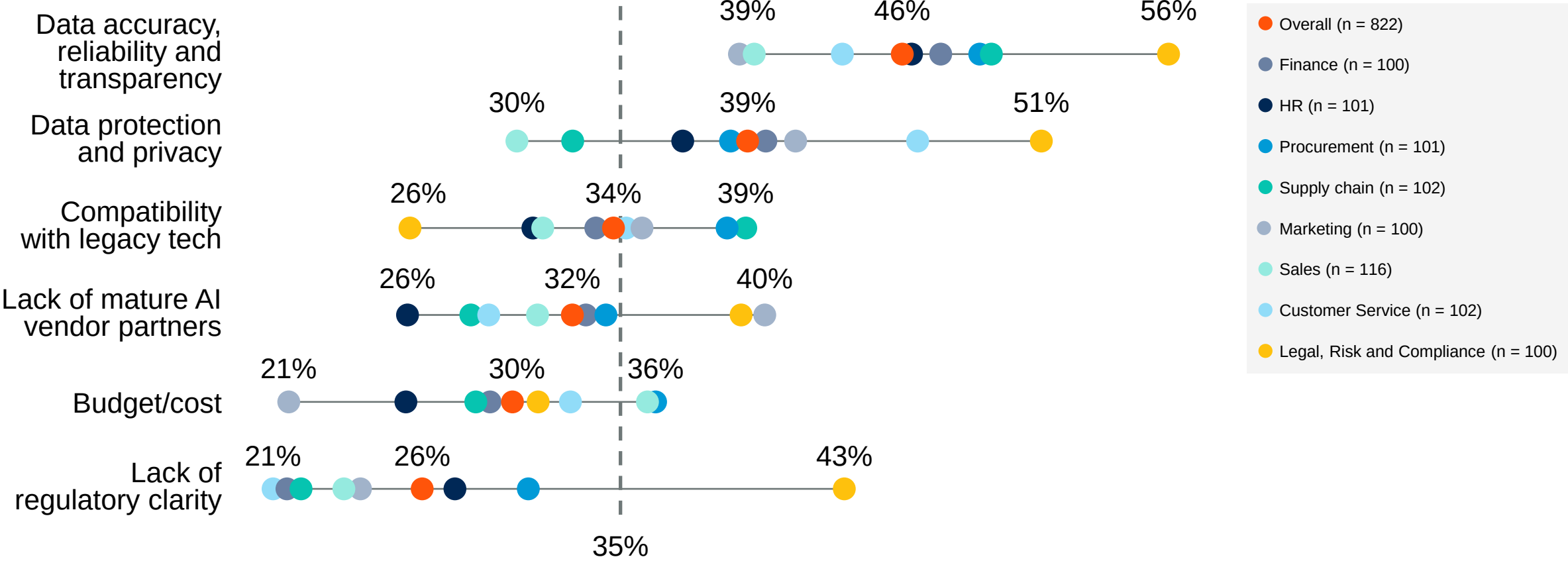
n= varies; all respondents, multiple responses
Q: In your understanding, what are some potential challenges with the implementation of generative AI in your organization?
Source: Gartner Generative AI 2024 Planning Survey
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Implementing AI Is Hard (but...products can help)



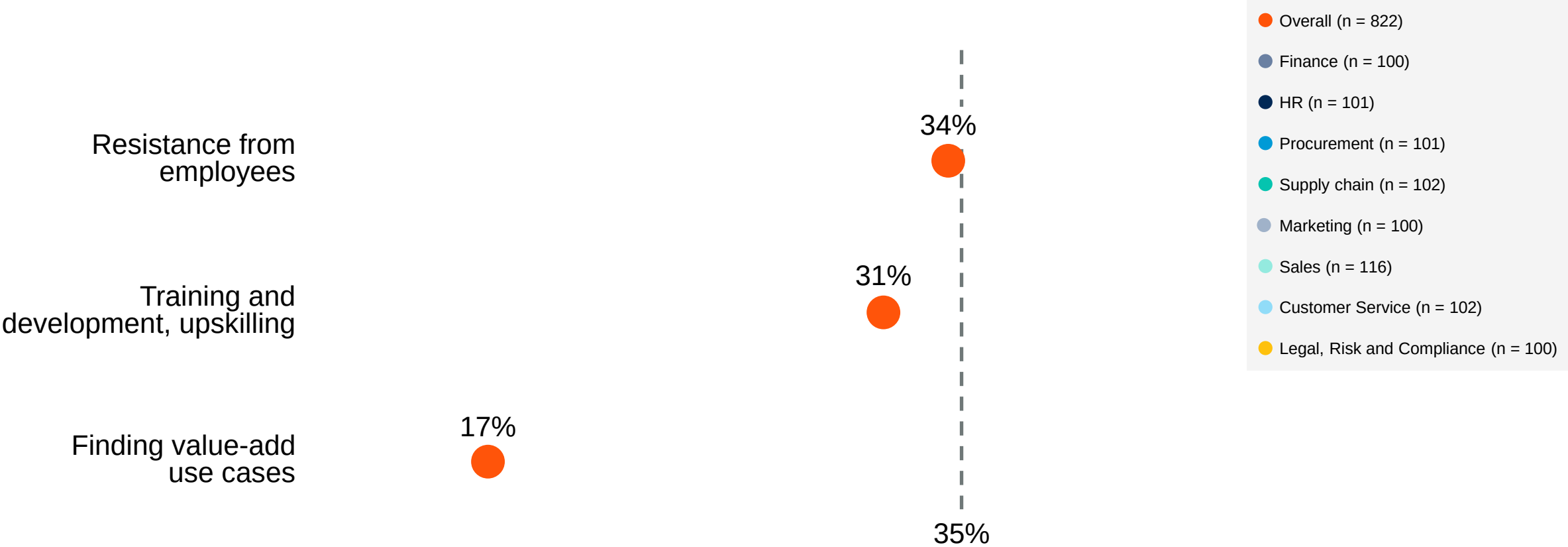
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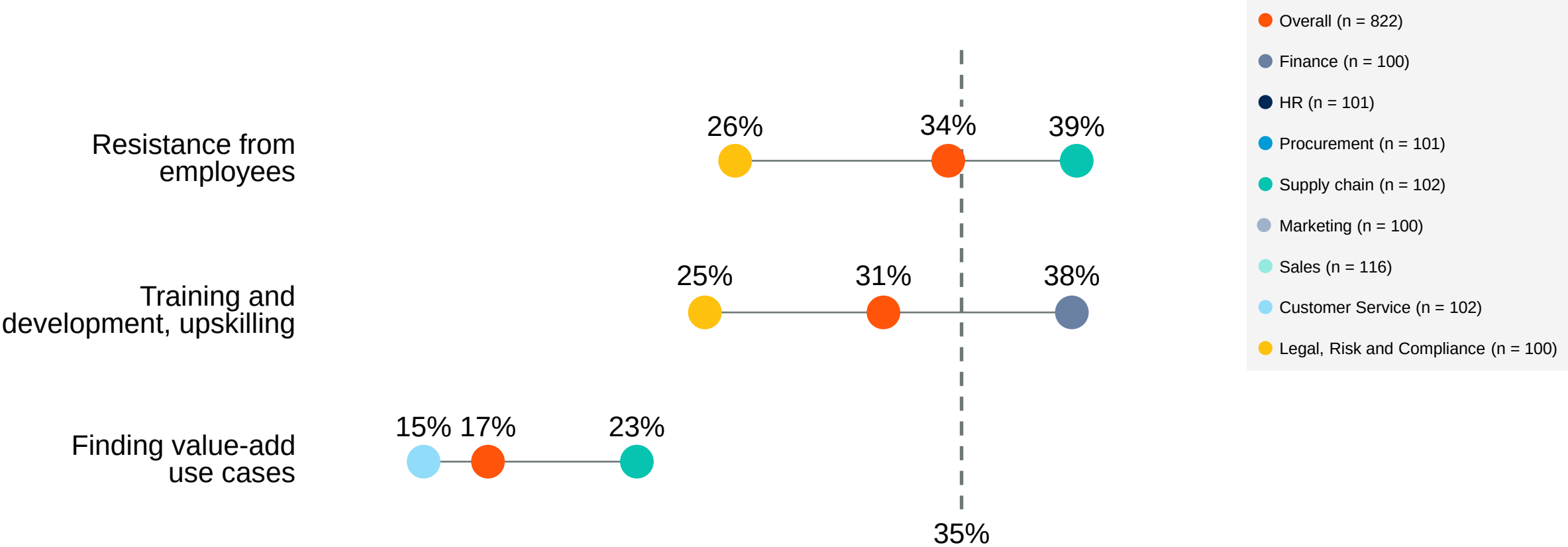
Implementing AI is Hard (Services Can Help)



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Source: Gartner Generative AI 2024 Planning Survey
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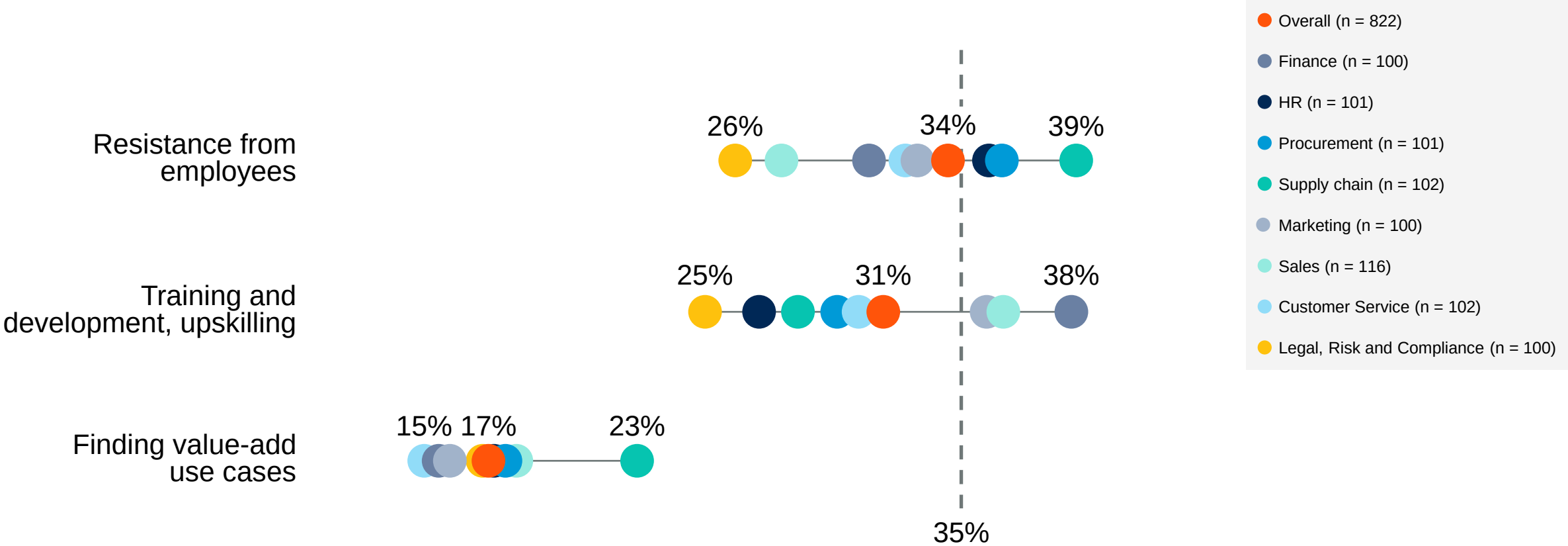
Implementation Challenges Are Rife – Services Opportunity Edition

What are some potential challenges with the implementation of generative AI in your organization?

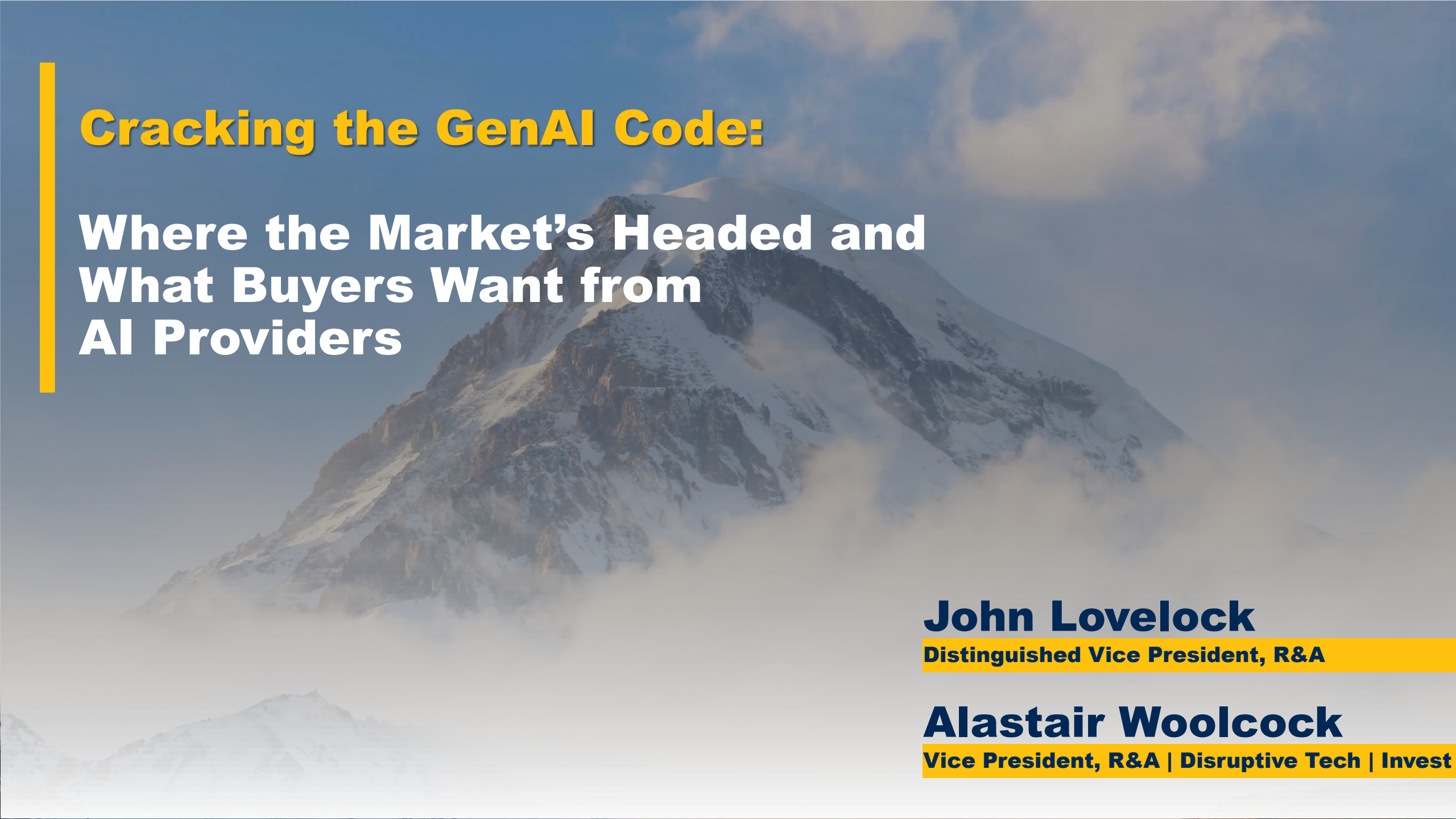


Implementation Challenges Are Rife – Services Opportunity Edition

What are some potential challenges with the implementation of generative AI in your organization?



n= varies; all respondents, multiple responses
Q: In your understanding, what are some potential challenges with the implementation of generative AI in your organization?
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Where the Market's Headed and What Buyers Want from AI Providers

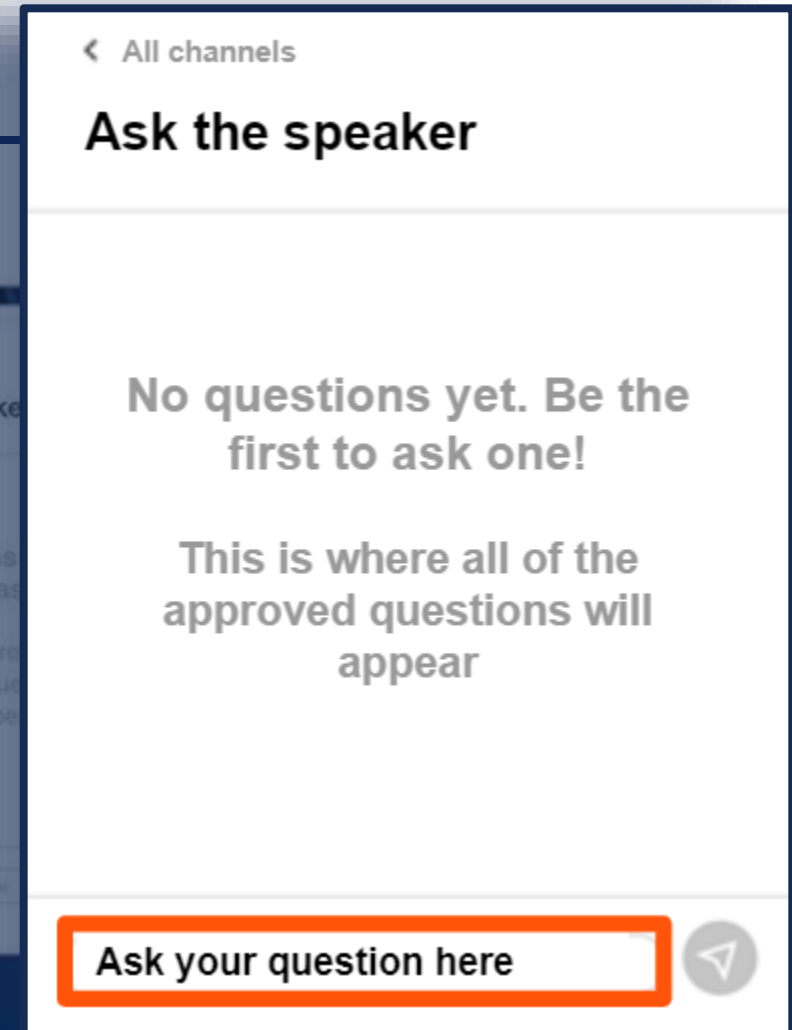
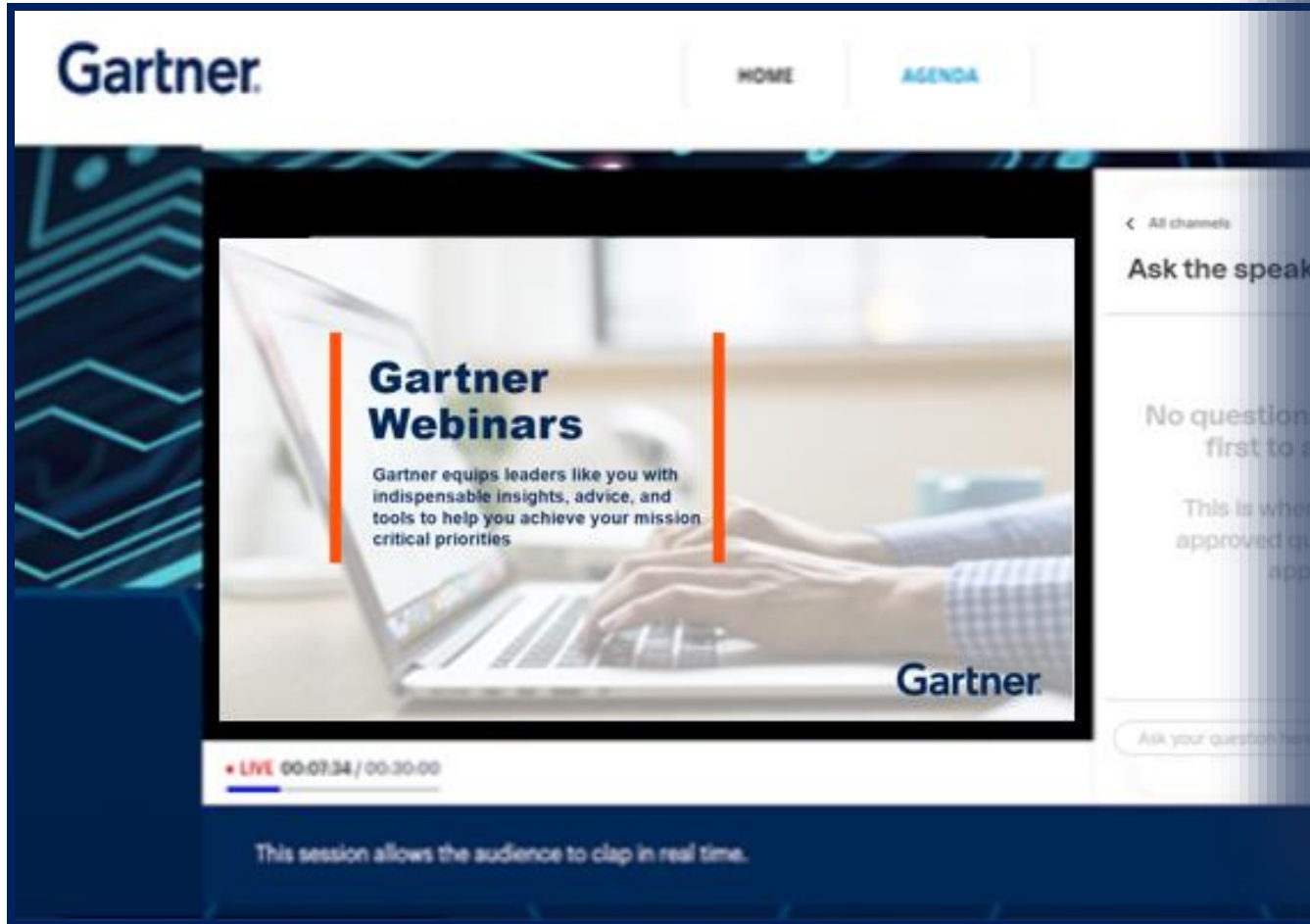
John Lovelock

Distinguished Vice President, R&A

Alastair Woolcock

Vice President, R&A | Disruptive Tech | Invest

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Evolve from customer service to customer success, **ensure your customers derive value from products and services**, and determine the best product or customer-led initiatives to drive growth.



Determine **where and when to place your GenAI** and key emerging tech bets for products and services, and which GenAI use cases are best suited to your products and target markets.

2025 Leadership Vision for High Tech Leaders



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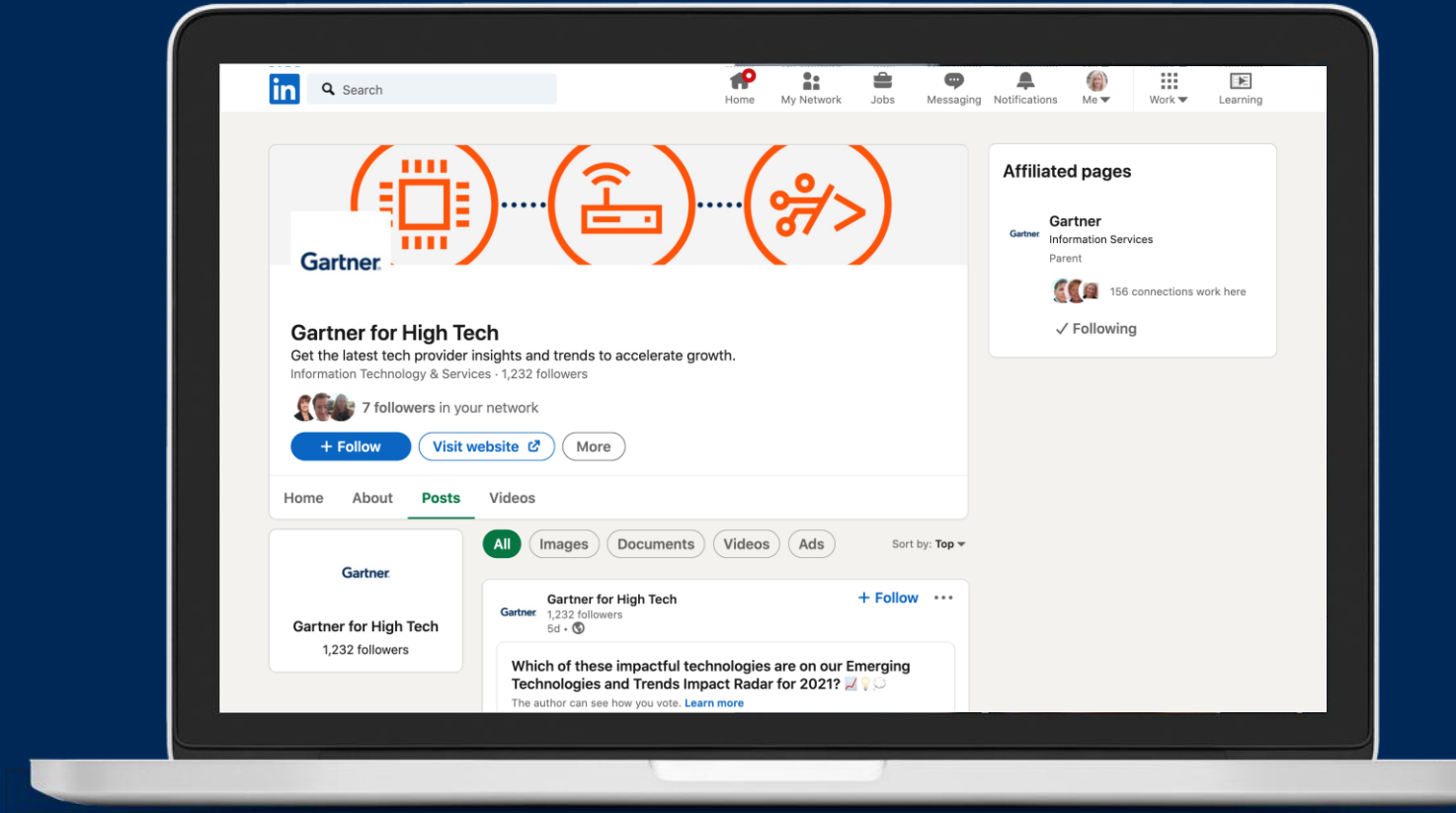
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All channels

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No questions yet. Be the first to ask one!

This is where all of the approved questions will appear

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• Explore what cloud computing will look like in 2027

• Discover how multi-cloud and cloud native can affect organizations' cloud efforts

• Ensure a successful cloud journey for your organization

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Speakers

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